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Eoptolink Technology Inc Ltd | Asia Pacific

Stock Incentive Plan Implies Good Confidence in Rapid Growth Outlook

Key Takeaways

- We believe Eoptolink's 2026 Restricted Stock Incentive Plan is a meaningful signal of management's confidence in the company's multi-year growth trajectory.
- It also demonstrates the company's potential to scale rapidly in the AI optical interconnect market.
- Dilution is minimal (0.46% of shares), the beneficiary pool is broad (up to 961 employees), and the track record is good.
- Thus, the plan reinforces our constructive view on Eoptolink as a key beneficiary of the global AI infrastructure buildout.
- We view this announcement as a positive catalyst.

Details: Based on the company's announcement on August 20, if Eoptolink can achieve the revenue targets – RMB50 billion in 2026, RMB140 billion cumulative through 2027, and RMB290 billion cumulative through 2028, the management team will receive 6.4812 million shares with a grant price of RMB212/share (just over half the August 20 closing price of RMB 414.02/share).

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Asia Summer School 2026

Eoptolink Technology Inc Ltd (300502.SZ, 300502 CS)

Greater China Technology Hardware | China

Stock Rating	Overweight
Industry View	In-Line
Price target	Rmb507.14
Up/downside to price target (%)	22
Shr price, close (Aug 20, 2026)	Rmb414.02
52-Week Range	Rmb618.87-168.73
Sh out, dil, curr (mn)	1,394
Mkt cap, curr (mn)	Rmb577,250.2
EV, curr (mn)	Rmb570,018.7
Avg daily trading value (mn)	Rmb20,668

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	6.8	13.3	24.0	29.1
Prior EPS (Rmb)**	-	-	-	-
EPS (Rmb)§	9.7	15.0	24.5	36.8
Revenue, net (Rmb mn)	24,841.9	54,314.8	91,895.2	112,718.6
EBITDA (Rmb mn)	11,107.3	24,597.6	39,803.4	48,200.3
ModelWare net inc (Rmb mn)	9,531.9	18,558.9	33,510.9	40,563.2
P/E	44.9	31.1	17.2	14.2
P/BV	23.7	16.2	8.6	5.6
RNOA (%)	137.7	189.2	176.9	138.9
ROE (%)	114.5	102.7	94.1	60.5
EV/EBITDA	37.9	22.8	13.5	10.5
Div yld (%)	0.1	0.2	0.4	0.7
FCF yld ratio (%)**	1.2	1.3	3.0	4.8
Leverage (EOP) (%)	(45.1)	(49.7)	(58.0)	(67.3)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Eoptolink Technology Inc Ltd (300502.SZ)

Residual income model, probability-weighted 30% bull, 50% base, 20% bear - skew reflects expected timeline for large-scale CPO application.

Key assumptions:

- CoE and terminal growth rate: 10% and 3.5% across scenarios
- High-end transceivers demand CAGR in 2026-2028e: bull 46%, base 43%, bear 43%
- 2025-35e net profit CAGR: bull 28%, base 25%, bear 20%.

Risks to Upside

- Later breakthrough in CPO
- Greater-than expected 800G/1.6T demand
- Faster-than-expected share gains in the datacom market
- Better cost control, leading to margin improvement

Risks to Downside

- Earlier breakthrough in CPO or other new technology
- Slower-than-expected share gains in the datacom market owing to intense competition/geopolitical tension
- Weaker-than-expected demand for 800G and 1.6T products
- Component shortage

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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Eoptolink Technology Inc Ltd (300502.SZ) - As of 08/20/26 GMT in CNY
Industry : Greater China Technology Hardware



Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/20/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$39.12
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb173.15
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$23.68
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.60
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.14
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb414.02
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$650.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb22.02
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.45
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb34.07
Largan Precision (3008.TW)	O (07/10/2026)	NT\$5,515.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb6.66
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.20
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK\$6.17
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK\$59.30
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb53.34
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb6.83
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$6.70
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb59.88
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$39.48
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb58.89
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$58.75
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb276.25
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb16.52
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$27.76

Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb358.00
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$132.70
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb107.26
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb27.13
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb904.20
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$23.80
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb33.84
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,105.00
Advantech (2395.TW)	O (01/20/2021)	NT\$673.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,420.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,985.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$25.80
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$993.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,250.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.90
Chenbro (8210.TW)	O (07/23/2025)	NT\$964.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,140.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,745.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT\$163.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$57.00
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,850.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$366.50
Innolux (3481.TW)	E (04/07/2025)	NT\$46.00
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$13,925.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb37.98
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$267.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb5.03
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.53
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb217.90
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$31.00
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$913.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$204.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$38.50
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$4.99
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb62.13
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$344.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,025.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$246.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb75.08
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,780.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$29.72
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,610.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,195.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$89.70
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$327.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb126.28
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb345.00
Unimicron (3037.TW)	O (02/23/2026)	NT\$1,140.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$412.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$180.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$6,325.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$562.00
Zhen Ding (4958.TW)	++	NT\$463.00

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* Historical prices are not split adjusted.

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